



Comments received by Verra during the public comment period 10 October - 09 November 2023 of the Project REDD+ Tauari Forest Conservation Project ID #4461

Published 09 November 2023

Comment 1

Date: 16 October 2023

Sent by:

Organization:

Country:

They cite the provision permitting up to 20% land conversion for deforestation activities (Brazil's Forest code 12.651/2012) but avoid disclosing the complex and expensive process of legally sanctioned deforestation in the Amazon.

In Acre, where this issue has surfaced, the removal of vegetation requires approval from the Rural Environmental Registry (CAR). This registry defines Legal Reserve, Permanent Preservation, and Alternative Land Use areas. IMAC Ordinance No. 43 of 04/25/2022 stipulates this requirement.

CAR approval entails rigorous examination of property documentation, including overlaps with Conservation Units, Indigenous Lands, and rural properties. Environmental liabilities are assessed, and if identified, the CAR is forwarded to the Environmental Regularization Program (PRA). The property owner must propose a project to address liabilities and sign a commitment agreement. Only then is the CAR approved.

For deforestation areas exceeding 1,000 hectares, an Environmental Impact Study (EIA) and Environmental Impact Report (RIMA) are mandatory, as per CONAMA Resolution No. 01, dated 01/23/1986. This resolution requires an environmental impact study and report for activities modifying the environment, such as Agricultural Projects.

Legal deforestation is allowed only on rural properties with complete documentation, including land registration, CCIR (Certificate of Rural Property), and an approved CAR. A comprehensive forest inventory of 100% of trees is required. For Acre, this includes all individuals with a Diameter at Breast Height (DBH) greater than 50 cm.

A simple research shows that none of this steps were taken.

Comment 2

Date: 16 October 2023

Sent by:

Organization:

Country:

Obtaining authorization for deforestation to facilitate this project appears to be growing more improbable. Even in the unlikely event that such permission is given, the viability of converting this land into a profitable asset remains uncertain. It is a formidable challenge to justify investing millions of dollars in converting the forest when there is no clear and measurable economic benefit.

Comment 3

Date: 16 October 2023

Sent by:

Organization:

Country:

The project proponent states that "The planned baseline degradation in the project area falls into the APD category, as the project proponent has Exploration Authorization -PMFS (Amazônia Legal) Nº 2012.2.2022.73574 and Exploration Authorization -POA (Amazônia Legal) Pleno Nº 2012.2.2022.74141, by Instituto de Meio Ambiente do Acre –IMAC in favor of RADAN ADMINISTRAÇÃO E PARTICIPAÇÕES LTDA."

However this authorization is for sustainable management, where forest needs to be maintained and a very limited amount of timber can be extracted, no more than 25-30m³ per hectare. PMFS stands for Sustainable Timber Harvesting authorization, where the forest is left mainly intact.

This authorization listed on diary official of ACRE on September 14th 2022 is only for 515ha, just a fraction of the project area, and this 515ha need to be exploited in a sustainable way that the forest is largely intact and can recoup itself.

Comment 4

Date: 16 October 2023

Sent by:

Organization:

Country:

On the de project ID 4461, i consider a fragile and vulnerable regarding a land legal enviroment laws not presents the real date on Sustainable Forest Manner Plan together with the supression plan. Thus is dangerous to realize that VM0007 was applies after a open these process in short time compare with start date.And about the GHG estimated, its complicated use traditional calc method and no use 1% de sample plots of the area size, no use a survey botanic colect; no use the high determined of the trees using correct instrument...and no use lidar method to verify and confirm field data collect.



Comment 5

Date: 16 October 2023

Sent by:

Organization:

Country

adding the issue of there not being a study regarding overlapping areas, and also, analysis of overlapping existing carbon projects

Comment 6

Date: 23 October 2023

Sent by:

Organization:

Country:

This project applies VM0007 (APD) but seems to be the prevention of legal sustainable logging with no land use change. This methodology doesn't seem to be applicable.

Comment 7

Date: 27 October 2023

Sent by:

Organization:

Country:

Carbon Stock is un-realistic and very high compared to similar projects.

Comment 8

Date: 8 November 2023

Sent by:

Organization:

Country:

Public consultation response

Methodology and Baseline

This is a REDD+ project developed by using VCS Methodology VM0007, v.1.6. The project approach is to Avoid Planned Deforestation (APD), justified by the existence of a sustainable



management plan, in which the landowner is authorized to explore (by logging) an area of 126,157.8211 hectares.

The project activities described at Section 1.11. are: Abandonment of logging activities, Implementation of the Forest Monitoring and Surveillance System.

The section also mentions that "the parallel execution of a Climate, Community, and Biodiversity (CCB) project was designed so that best practices could be applied in order to provide net positive benefits for climate change mitigation, for local communities and for biodiversity", even though there is no records of CCB projects or requirements at the Verra Registry, linked to the project.

The project is located in Brazil, more specifically between the municipalities of Tarauacá and Cruzeiro do Sul, in the east of Acre. It could better indicate the location of the project area in relation to the municipality of Tarauacá/AC.

The correct methodology and approach were applied. Because there is a Sustainable Management Plan, the landowner is legally authorized to implement planned deforestation at the project area. However, there is something to be checked. VCS has recently updated its Standard, from version 4.4 to version 4.5. This could affect many items of the project, depending on when it will complete its validation, for example: a crediting period of 30 years will no longer be accepted (minimum of 40 years).

Regarding how the Sustainable Management Plan would be executed overtime, information is not very clear, in order to check the proposed deforestation rates.

The project used the VT0001 tool to demonstrate land use and additionality scenarios, in its latest version, 3.0.

The land use scenario, Step 1 of the VT0001 additionality tool, was incorrectly applied in section 3.4 Baseline Scenario. Additionality arguments should be concentrated in section 3.5 Additionality, as guided by the methodologies and modules used. Despite this, analyzing the



content, alternative scenarios were identified as I. Continuation of previous practices/BAU, and II. Timber exploitation through a Sustainable Management Plan. However, despite the identification of each of the scenarios, they were not described and detailed within the project narrative, only indicated. In sub-step 1b, the same brief indication occurs, without further explanation or contextualization.

In section 3.5 Additionality, the sub-steps are better described. However, in Step 2. Investment Analysis, there is a lack of greater depth in order to prove the economic and financial attractiveness of the project activities, mainly in the calculations and financial indicators. In the same section, in Step 4. Common Practice, the proponent describes the current situation of management and conservation initiatives in the state of Acre and the political scenario, but ends up not bringing concrete examples of projects, units or areas that practice or aim to practice similar activities in the region.

Furthermore, the methodologies used were well cited. However, especially in parts of historical and political contextualization, few references that attest to the data presented were indicated.

The chosen baseline scenario is: "Commercial logging through a Forest Management Plan.". The section is not very well described and the project does not explore other possible scenarios at the region, such as cattle ranching. Overall, the baseline and additionality assessment do not respect the step-by-step proposed by the VCS Tool (VT0001), neither brings deep information for justifications.

Another important issue is that the tool for APD projects related to VM0007 (VDM0006 module) do require that the following topics are demonstrated: deforestation agent, deforestation probability and risk of abandonment. Those items are usually presented with the baseline discussion and did not appear at the Project Description.

The baseline activities were not very well described in the appropriate section (3.4 Baseline Scenario), in which the additionality tool (VT0001) was discussed, when, in fact, the tool



VMD0006 - Estimation of baseline should have been indicated carbon stock changes and greenhouse gas emissions from planned deforestation/forest degradation and planned wetland degradation (BL-PL), as mentioned in the project PDD section, 3.2 Applicability of Methodology.

As it is a REDD+ APD project, the deforestation agent would be the logging company present at the site, Sumaúma Empreendimentos Imobiliários S/A, identified as the only agent. The proponent then justifies the baseline scenario being the continuation of conventional extraction practices. Despite being pointed out, the agents and vectors of deforestation, and the historical context of the activities present in the area, were not well described and in-depth in the section.

The project is a REDD+ APD project that analyzes emissions reductions through avoided planned degradation. The results of the baseline emissions analysis are presented step-by-step. However, at several points in the description of the method used to carry out the calculations, there is a lack of details to verify the results obtained, which raise questions in their interpretation. This makes it difficult to follow the logic of the calculations until the presentation of the final emissions table, requiring a more in-depth analysis of the numbers presented to assess their accuracy.

Two fundamental pieces of information for calculating the baseline for REDD+ APD projects are the annual deforestation rate and carbon stocks per hectare. The procedures used for these two calculations are well described in the PDD. For the annual deforestation rate, the project uses the sustainable forest management plan to obtain values for the area degraded annually by the project's UPAS. A table is presented with the list of UPAS that would be explored in the baseline scenario, and an estimate of the "degraded" area in each explored UPA. In emissions calculations, the percentage of degraded area was considered as a percentage loss of forest carbon stocks, with an average of -34% loss in stocks in each UPA. Even though the value of 34% was referenced by a study of D'arace et al, 2019, it is not clear if this is actually aligned with what is authorized by the existing Sustainable Management Plan. This percentage of loss may be overestimated, since a degraded area



does not lose almost all of its biomass, as happens with deforestation. If this percentage refers to deforestation (forest conversion) through logging and not degradation, this is not clear in the PDD.

Carbon stock estimates were obtained from the results of a forest inventory. It is described in the PDD that 109 plots were randomly allocated to the UPAS area. The procedures for measuring the DBH (diameter) of trees in the field are described without much detail, and how the DBH values were converted to above-ground biomass and carbon. Calculations of total biomass in the project area used a procedure based on total stock tables, generating an estimate of a.c. of 448.9 tC/ha or 1,646 tCO₂e/ha, a value well above that normally obtained in other projects in the Amazon (obtained by dividing the total of 56,637,338.5 by the total project area, 126,157, as described on page 88 of the document). It is not clear, however, how this estimate was used to find the emission factors on pages 93-96, which are fundamental for baseline emissions calculations.

Ownership and Project Proponents

The property where the project is located (GLEBA PARANACRE PART A) is owned by Samaúma Empreendimentos Imobiliários S/A. The proponents of this project (Mata Nativa do Brasil Assessoria e Consultoria Ambiental LTDA and MyCarbon LTDA), have the legal right to control and operate the project activities through an agreement previously established between the parties.

It is mentioned that legal documents proving land ownership and ownership of the area will be provided to auditors during the validation process. It is unclear how the legal relationship between the landowner and the project proponents is settled. Credit ownership itself is not clear.

The project also mentions that it is also seeking CCB certification (under development), stating that its activities are aligned with the development and support of local communities.



Local Stakeholder Consultation and AFOLU-Specific Safeguards

Chapter 2 of the Project Description (Safeguards) is very short and with no precise information regarding overall safeguard actions. It does mention that a parallel CCB project is being developed, but it was not possible to locate this project in Verra's Registry.

Section 1.11, Project Description reports that initial researches were conducted at the area, from July 31, 2022 to August 28, 2022, when some of the the riverside communities that live on the site were contacted and assisted in the entire mapping to identify deforestation/Invasion Points in regions close to the project area. However, the project does not present any social diagnostic, as well as detailed information on who the stakeholders are and how they will be impacted by the project activities.

It was not mentioned how the stakeholder identification process was held. Regarding the results of the consultation with interested parties, some photos taken with the community along the PD were presented. We did not find a place that specified whether there is a method for resolving potential conflicts. However, it is mentioned that there is continuous communication with local communities. Regarding the issue of environmental and social impacts, the project mentions that it is not an exploratory initiative and that its activities do not involve issues that could cause damage to the environment. It is said that its activities are aimed solely at the benefit of communities. However, no evidence is presented to prove this point.

Important to note that VCS Standard 4.5 brings a whole set of requirements for the Safeguard Chapter.

Other Comments

In sum:

- The project presents a good quality of writing and demonstration of the activities to be carried out, presenting them in a clear and detailed way;
- Attention to the Project Template update (version 4.3) and the use of the new VCS



Standard (4.5) and new Non Permanence rules.

- The risk tool does not seem to be applied anywhere. The only deductions the projects have on the final VCUs regard uncertainty. It is not clear if a buffer was calculated (which should be, at least, 10%) and for sure it was not applied at the presented quantifications.
 - It is possible to notice a concern in supporting local communities, thinking about their benefit;
 - The stakeholder identification process was not very well explained and, despite it being mentioned that there is a means of continuous communication with local communities, it was not clear through which means this communication is carried out;
 - Regarding additionality, it is possible to understand the line of reasoning and arguments of the analysis, however, there is a need to add a more complete view in these sections, to ensure greater basis and technical rigor of the scenarios presented. Furthermore, some errors are identified in the tool's steps, being confused with steps in the methodology aimed at evaluating baseline scenarios. In short, a more precise review of this section is suggested.
 - The baseline scenario, described in section 3.4, along with the agents and vectors of deforestation, does not present a good description and analysis. Despite the identification of usual practices in the project location, they do not have in-depth and theoretical references for the basis and arguments to have a weight. More detail is suggested in this section.
 - Furthermore, section 3.4 adopted part of the additionality tool, which should be fully applied in section 3.5.
 - Regarding the baseline, despite the step-by-step description in the presentation of the results, the lack of important details about the calculations prevents a large part of the results from being evaluated. Furthermore, based on the results shown, carbon stocks appear to be overestimated in relation to other projects and other biomass stock references in the Amazon (448.9 tC/ha or 1,646 tCO₂e/ha). Finally, there is still a doubt about whether equating the degradation emission factor to the total degraded area may be overestimating the baseline emissions, since degraded areas lose much less biomass than areas converted by deforestation.
 - It mentions CCB, but it didn't use the template, neither presented a separate CCB project file.
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